

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SOUTHERN INTERNATIONAL CO., LTD., *Complainant*

v.

DAYNAMEZ GROUP OF COMPANIES LLC, *Respondent*.

DOCKET NO. 25-24

Served December 1, 2025

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON RESPONDENT’S MOTION TO DISMISS AND RESPONDENT’S MOTION TO STRIKE

This matter came on for consideration on: 1) Respondent’s Motion to Dismiss filed September 23, 2025, and Complainant’s Opposition to Respondent’s Motion to Dismiss filed October 7, 2025, but not docketed until November 13, 2025, due to lapse in appropriations from October 1, 2025, through November 12, 2025; and 2) Respondent’s Motion to Strike Response to Motion to Dismiss filed November 7, 2025, to which no response has been filed despite the fact that the applicable deadline has passed. (Dkt. 7, 8, and 9.) For the reasons set forth below, a ruling on Respondent’s motion to dismiss is deferred pending amendment of the complaint in accordance with this order, and Respondent’s motion to strike is denied.

I. Introduction

On August 26, 2025, Complainant filed a complaint alleging violations of 46 U.S.C. § 41102(c); 46 U.S.C. 41104(2); 46 U.S.C. § 41104(3); and 46 U.S.C. § 41105(1). (Dkt. 1.) Complainant alleges that it is a limited liability company and ocean transportation intermediary organized and operating under the laws of Vietnam with its principal place of business located in Ho Chi Minh City, Vietnam. Complainant identifies Respondent as a limited liability company organized and operating under the laws of the state of Virginia with its principal place of business located in Fairfax, Virginia. Complainant alleges that Respondent’s violations of the Shipping Act arose from Respondent’s failure to remit payment to relevant carriers for the shipping of 558 containers contracted by Complainant, repeated misappropriation of funds, and other acts or omissions by Respondent. (Dkt. 2.)

II. Argument of the Parties

Respondent argues in its motion to dismiss that the complaint is deficient for the following reasons: 1) it fails to follow a cohesive format with specific allegations in numbered paragraphs; 2) the Commission lacks jurisdiction because Respondent was not acting as a Non-Vessel Operating Common Carrier (NVOCC), Ocean Freight Forwarder, or Common Carrier; 3) the

arbitration clause in the contract executed by the parties designates Vietnam as the proper forum; and 4) the complaint is not verified in accordance with 46 C.F.R. § 502.6. (Dkt. 7 at 1-2.)

Complainant argues in its opposition that: 1) the Commission has jurisdiction because Respondent acted functionally as an NVOCC despite its title of sales agent; 2) the arbitration clause is not enforceable against Shipping Act claims; 3) the complaint sets forth a plausible claim for relief; and 4) the lack of verification is a minor defect that can be cured. (Dkt. 8, 1-2.) In the alternative, Complainant requests to amend the complaint but has not filed a motion seeking this relief. (Dkt. 8 at 9.)

Respondent argues in its motion to strike that Complainant's complaint and response to the motion to dismiss were signed by an alleged Director of Respondent but that all cover letters and related correspondence have been transmitted by a Vietnamese attorney who does not appear to be admitted to practice before the Commission in accordance with 46 C.F.R. § 502.26. Respondent argues that Complainant's opposition to the motion to dismiss should be stricken on this basis. (Dkt. 9 at 1-3.)

Complainant did not file any response to Respondent's Motion to Strike Response to Motion to Dismiss despite the expiration of the seven day response period set forth in 46 C.F.R. § 502.71(b).

III. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011).

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Dkt. No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, while a complaint need not plead detailed factual allegations, the factual allegations it does include must be enough to raise a right to relief above the speculative level and to nudge . . . claims across the line from conceivable to plausible. This plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.

Cornell, 2014 WL 5316340, at *6-7 (internal quotation marks and citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”).

Commission precedent establishes that federal case law interpreting Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss in Commission proceedings. *Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12.

IV. Jurisdiction

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission's

obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at *7.

Chapter 411 of Part A, Subtitle IV, of Title 46 contains the codification of “Prohibitions and Penalties” under the Shipping Act, amended and codified, at 46 U.S.C. §§ 41101 through 41110. Section 41102 sets forth certain “General Prohibitions” while other sections in Chapter 411 address prohibitions specific to certain categories of entities regulated under the Shipping Act. For example, Section 41104 prohibitions are applicable to “Common Carriers” and Section 41106 prohibitions are applicable to “Marine Terminal Operators.”

Thus, the Commission has jurisdiction over specified regulated entities that include, *inter alia*, ocean common carriers (“OCC”) and non-vessel operating common carriers (“NVOCC”). (See, e.g., 46 U.S.C. §§ 40102(7), 40102(17), 41102(c), 41104(2), 41104(3), and 41105(1)). A common carrier is:

a person that: holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

46 U.S.C. § 40102(7). A NVOCC is a common carrier that does not operate the vessels by which the ocean transportation is provided; and is a shipper in its relationship with the ocean common carrier. 46 U.S.C. § 40102(17). Although NVOCCs usually do not own or operate vessels that actually carry the cargo, they lease facilities and services from other firms—making them the “common carrier[s]” responsible for transportation of the cargo from origin to destination. *Landstar Express America, Inc. v. FMC*, 569 F.3d 493, 495 (D.C. Cir. 2009) (citation omitted).

In addition, there must be a link between the respondent's regulated status and the conduct that allegedly violates the Shipping Act. *Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015); see also *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity - common carrier, marine terminal operator, or OTI - with respect to the conduct at issue.”).

V. Discussion

As an initial matter, Respondent's motion to strike Complainant's opposition to motion to dismiss is procedurally defective for failure to comply with the duty to confer imposed by 46 C.F.R. § 502.71(a). In this regard, the motion fails to state that an attempt was made to discuss the anticipated motion in advance in a good faith effort to determine whether there is any opposition to the relief sought. Accordingly, Respondent's motion to strike Complainant's opposition is denied on this basis. Moreover, the substantive argument lacks persuasion because the fact that the Respondent's pleadings and papers are transmitted by a foreign attorney who may not be licensed to practice before the Commission does not alter the fact that: 1) the filings are executed by an individual with apparent authority to act in a representative capacity; and 2) no counsel has entered an appearance in this matter on behalf of Complainant, licensed or otherwise.

With respect to the argument that the complaint does not follow a cohesive format with specific allegations in numbered paragraphs, FED. R. CIV. P. 10(b), which is applicable here pursuant to 46 C.F.R. § 502.12, provides:

(b) Paragraphs; Separate Statements. A party must state its claims or defenses in numbered paragraphs, each limited as far as practicable to a single set of circumstances. A later pleading may refer by number to a paragraph in an earlier pleading. If doing so would promote clarity, each claim founded on a separate transaction or occurrence—and each defense other than a denial—must be stated in a separate count or defense.

Numbering complaints with separate paragraphs is the best practice because it promotes clarity, ease of reference, and efficiency in responding and when referenced in court proceedings. For this reason, I find that the complaint is deficient to the extent that it does not comply with FED. R. CIV. P. 10(b).

With respect to the argument that the complaint fails to establish jurisdiction over a regulated entity over which the Commission has authority pursuant to the Shipping Act, I find that the complaint fails to set forth sufficient facts to establish a plausible claim for relief. Although Complainant's opposition to motion to dismiss asserts that Respondent "acted functionally as a Non-Vessel-Operating Common Carrier (NVOCC), regardless of its self-proclaimed title as a "sales agent," the complaint does not set forth a factual predicate to support this assertion. (Dkt. 8 at 2.) Rather, the complaint makes the bald assertion that Respondent acted as an NVOCC without providing any facts to support a finding that it "holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country" as is required for an entity to be a common carrier as that term is defined in 46 U.S.C. § 40102(7). Notably, Section 2 of the complaint, which describes Respondent, merely states that it is "is a limited liability company organized under the laws of VA." (Dkt. 1 at 2.) It does not allege that Respondent is a NVOCC, holds a license as an NVOCC, or holds itself out to the public as an NVOCC.

Section 4 of the complaint contains a confusing narrative describing the working relationship of the parties and general terms of their agreement. It alleges that Respondent had “strong ties with a major logistics partner in Rotterdam” who is not identified, and repeatedly assured Complainant that the unnamed partner had close relationships with numerous shipping lines that would enable Complainant to secure the best rates. It states that based on these assurances Complainant entered into an “Agency Agreement” with Respondent “to cooperate in providing sea transportation services.” It further states that in September 2024, Respondent informed Complainant that it had established an agency relationship with its agents that it referred to as “booking partners.” It goes on to describe an operational workflow devised by Respondent that required Complainant to collect freight charges from its customers and pay the funds directly to Respondent. It further states that Respondent frequently delayed payments to its partners, which delayed delivery schedules and required Complainant to advance additional sea freight payments on Respondent’s behalf to ensure goods were cleared from customers. Complainant contends that Respondent eventually ceased making all payments to its booking partners and that Complainant paid more than 2.4 million dollars for 558 shipments. Complainant alleges that the ocean bills of lading for the shipments were carried out by the Vietnamese agents “Super Cargo” and “Kargosmart Vietnam” with whom Respondent has established “agency relationships.” (Dkt. 1 at 3-4.) Complainant alleges that Super Cargo failed to release 43 containers despite that it had been directly paid sea freight by Complainant at the direction of Respondent, and that Super Cargo refuses to return the funds even after customers paid the inflated rate demanded to retrieve their 43 containers. Complainant also alleges that Kargosmart Vietnam refuses to return \$50,000 Complainant deposited to obtain the master bill of lading for a shipment despite that the freight charge had already been paid to Respondent. Based on these events, Complainant alleges that Respondent misappropriated a total of more than 2.6 million dollars. (Dkt. 1 at 5.) These allegations do not make out a plausible claim that Respondent acted as an NVOCC.

With respect to the argument that the contract between the parties contains an arbitration clause requiring the matter to be litigated in Vietnam, I find that this is not persuasive on the ground that the Commission has exclusive jurisdiction over allegations of violations of the Shipping Act. *Cargo One, Inc.*, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000.)

With respect to the argument that the complaint is not verified, the complaint is signed above a signature block that reads in pertinent part: “SOUTHERN INTERNATIONAL COMPANY LIMITED Representative: Mr. Nguyen Tien Phuong.” I find that Complainant has failed to satisfy the requirement that the complaint either be: 1) signed under oath and verified by an unrepresented party as required by 46 C.F.R. § 502.6(b); or 2) signed by an attorney or other person qualified to practice before the Commission in accordance with 46 C.F.R. § 502.6(a).

Despite that it would have been more appropriate for Complainant to file a motion for leave to amend the complaint rather than requesting this alternative relief in its opposition, it is within my discretion to order Complainant to file an amended complaint. 46 C.F.R. § 502.66(a). Specifically, Commission Rule 66(a) allows the presiding officer to direct a party to state its case more fully and in more detail by way of amendment, and here, more detail is warranted. *Id.* In addition, 46 C.F.R. § 502.62(a) addresses the filing, form, and content of private party complaints seeking formal adjudication, and using that as guidance in addition to FED. R. CIV. P. 10(b), Complainant shall be granted leave to cure the deficiencies specified in this order.

Accordingly, Complainant is directed to file an amended complaint in accordance with 46 C.F.R. § 502.62(a) and FED. R. CIV. P. 10(b).

VI. Order

Upon consideration of the record and the arguments of the parties, it is hereby

ORDERED that Respondent's Motion to Strike Response to Motion to Dismiss (Dkt. 9) is **DENIED**. **It is**

FURTHER ORDERED that a ruling on Respondent's Motion to Dismiss (Dkt. 7) is **DEFERRED** to allow Complainant the opportunity to file an amended complaint addressing the deficiencies specified herein without broadening the issues. **It is**

FURTHER ORDERED that Complainant be granted leave to file an amended complaint **no later than December 11, 2025**, and Respondent shall file a response **within 25 days of service** of the amended complaint. If the amended complaint cures the deficiencies specified herein, the motion to dismiss the amended complaint will be denied as moot. Otherwise, Respondent may renew its motion.

MARY A. HERVEY -S

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Mary Apostolakos Hervey
Administrative Law Judge